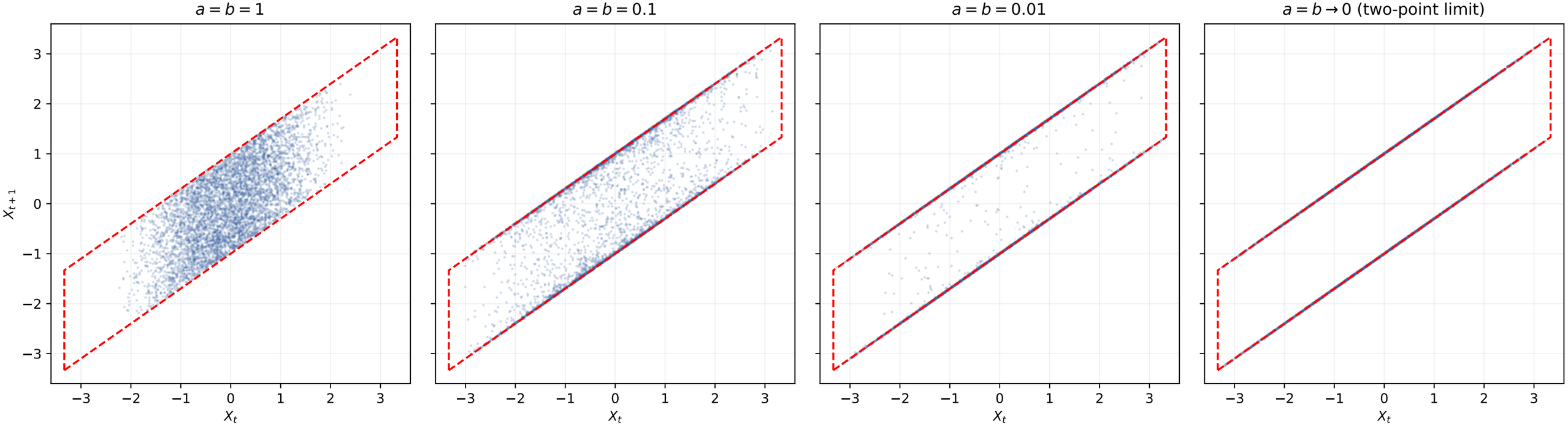

AR(1), $\phi = 0.7$: clouds concentrate on $X_{t+1} = 0.7X_t \pm 1$
$a = b = 1$
$a = b = 0.1$
$a = b = 0.01$
$a = b \to 0$ (two-point limit)
X_{t+1}
X_t